

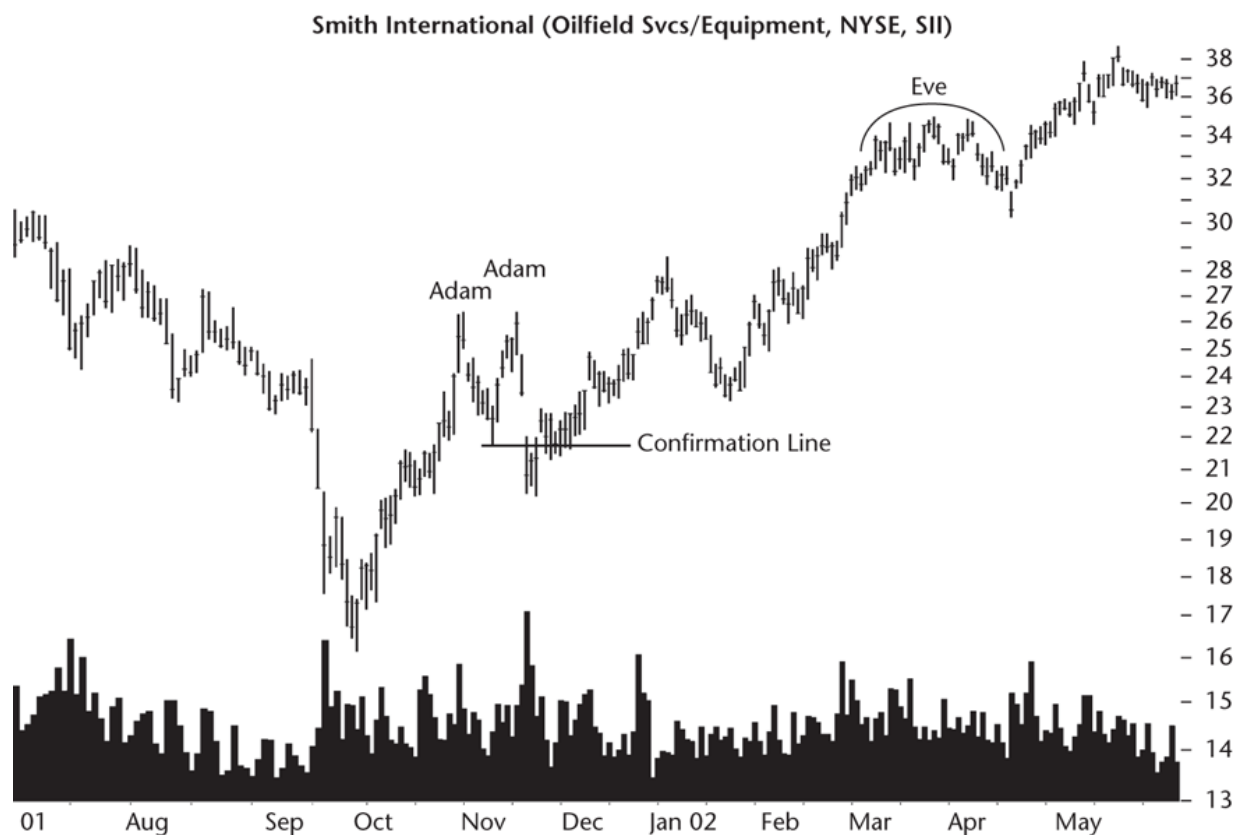


Figure 30.3 Another example of an Adam & Adam double top, but price does not decline far below the confirmation line.

In this example, volume trends upward and that is unusual. Volume is also heavier on the right top if you bracket the peak with 5 days of average volume (2 days to the left to 2 days to the right). Volume is usually heavier on the left peak.

Table 30.1 shows identification characteristics for double tops. Consider **Figure 30.4** as we go through the table.

Appearance. Look for price to climb into a twin-peak pattern. The peaks should top out near the same price. After the double top, price should drop and confirm the pattern as valid.

Price trend. Price must trend upward leading to the pattern to qualify it as a top, not a bottom. The upward price trend can be short, though.

Valley between tops. A dip should separate the two tops, making each top stand out as its own minor high. Do not select patterns that are part of the